

Board of Directors Package

Wholesum Foods Distribution, Inc. — Q4 2023

Board Meeting: February 8, 2024 | Confidential — Board Use Only

Date	February 8, 2024
Location	Atlas Crossing Partners, 2 Embarcadero Center, Suite 1800, San Francisco, CA 94111
Board Members	M. Tang, S. Chen (Atlas Crossing); C. Gonzales (Exec. Chairman); R. Whitfield, L. Park (Independent)
Management	R. Gonzales (CFO); P. Vega (President & COO); M. Torres (SVP Operations)
Observers	D. Okafor (Atlas Crossing — Principal)

Agenda

1. Call to order and quorum confirmation
2. Approval of prior meeting minutes
3. Executive Summary and quarterly highlights
4. Financial performance review
5. Operational KPI update
6. Strategic initiatives status
7. Risk review
8. Next quarter outlook and key actions
9. Other business / adjourn

Executive Summary

Wholesum closed FY2023 with Q4 revenue of \$208.0M and EBITDA of \$25.6M (12.3% margin). Full-year FY2023: revenue \$785.0M, EBITDA \$93.7M — 29% above the \$72.4M entry LTM. Net leverage declined to 5.4x. Rio Grande Latino Foods acquisition closed January 9, 2024, adding the San Antonio DC, Rio

Grande Valley market, and ~180 incremental customers. Midwest Specialty Foods is now under formal evaluation.

Financial Performance

Metric	Q4 2023 Actual	Budget	Var. to Bud.	Prior Year Qtr	YoY
Revenue	\$208.0M	\$204.0M	+2.0%	\$171.0M	+21.6%
Gross Profit	\$40.6M	—	—	—	—
Gross Margin %	19.5%	—	—	—	—
EBITDA	\$25.6M	\$24.4M	+4.9%	\$18.9M	+35.4%
EBITDA Margin %	12.3%	—	—	—	—
D&A	(\$4.3M)	—	—	—	—
EBIT	\$21.3M	—	—	—	—
Interest Expense	(\$7.7M)	—	—	—	—
Net Leverage	5.4x	—	—	Entry: 6.0x	—
LTM EBITDA	\$93.7M	—	—	Entry: \$72.4M	—

Operational KPIs

KPI	Current Quarter	Entry Baseline	Progress
Total Customers	4,200	3,500	+700 incremental
Distribution Centers	14	12 DCs	+2 DCs from bolt-ons
Private Label % of Rev.	10.5%	8.0%	Target: 18% by exit
Revenue per Customer	\$49.5K	—	—
EBITDA per DC	\$1.83M	—	—
Net Leverage	5.4x	6.0x	Covenant: ≤7.5x

Strategic Initiatives

Initiative	Status	Detail
Private label expansion	Ahead of plan	52 SKUs; 10.5% of revenue; 15% target by YE 2024 on track
Rio Grande acquisition	Closed Jan 9	Integration plan activated; systems cutover target Mar 31
Route density optimization	Expanding	Expanded to 4 DCs; \$3.2M annualized savings
Midwest Specialty Foods eval.	Under eval.	NDA signed; management meeting Feb 14, 2024

Key Risks & Mitigation

Risk	Severity	Mitigation
Rio Grande integration	Low	Day-1 complete; customer retention 99%
Leverage headroom	Low	5.4x vs. 7.5x covenant; >\$100M revolver capacity
FY2024 budget	Low-Medium	Conservatively set vs. FY2023 outperformance

Next Quarter Outlook

FY2024 plan: \$880M revenue, \$112M EBITDA. Rio Grande adds \$28M annualized revenue. Midwest Specialty Foods LOI target Q1 2024. PL target 13% of revenue by YE 2024.

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